

Public Finance Econometrics: Data and Methods Note

Portfolio documentation for ECON-421 state policy and economic performance project

Purpose

This data and methods note documents the structure of the public finance/econometrics portfolio package. It is meant to help reviewers understand the sources, variables, sample, and modeling choices behind the project without requiring them to read the full report first.

Data Sources

- Cato Institute, Freedom in the 50 States: fiscal and regulatory policy variables.
- Bureau of Economic Analysis: real gross state product and real private-sector gross state product.
- U.S. Census state population estimates: population adjustment for per-capita outcomes.

Sample and Unit of Analysis

The project uses a state-year panel covering 50 U.S. states from 2000 through 2020. The core regression sample contains 1,050 state-year observations.

Dependent Variables

- Real GSP per capita: real gross state product divided by state population.
- Real private-sector GSP per capita: real private-sector output divided by state population.

Independent Variables

The model includes selected fiscal-policy variables, regulatory-policy variables, occupational freedom measures, and summary policy indexes from the Freedom in the 50 States dataset. Examples include state government consumption and investment, local tax burden, state tax burden, debt as a share of income, eminent domain reform, land-use regulation, health-insurance freedom, telecom deregulation, occupational requirements, and combined fiscal/regulatory indexes.

Modeling Approach

The project uses fixed-effects regressions to account for persistent differences across states that are not directly modeled. The fixed-effects approach is appropriate because some states may consistently overperform or underperform economically for reasons that are stable across time and not fully captured by the included policy variables.

Public Portfolio Note

The public portfolio package includes cleaned Stata scripts and documentation. Raw datasets are not included in this first public artifact package. The scripts use relative paths and describe where a user would place the relevant data files to reproduce the workflow.